

Credit Memo - Pfizer Inc.

TO: Head of Healthcare Lending, Corporate Banking Division

FROM: Senior Credit Analyst, Corporate Banking Division

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RE: Credit Assessment — Pfizer Inc. (NYSE: PFE) — Revolving Credit Facility Renewal

Executive Summary

This credit memo evaluates Pfizer Inc. (NYSE: PFE) in connection with a proposed renewal and upsizing of its revolving credit facility. Pfizer is a leading global pharmaceutical company with a diversified product portfolio spanning oncology, immunology, cardiovascular, and infectious disease therapeutic areas.

Based on our analysis of the company's most recent financial filings, Pfizer demonstrates solid profitability with FY 2025 net income of \$7.8 billion and diluted EPS of \$1.36. However, the company faces revenue normalization headwinds as post-pandemic product demand continues to decline, with FY 2025 revenues of \$62.6 billion representing a significant decline from peak pandemic-era levels of \$91.8 billion in FY 2022. The balance sheet remains investment-grade worthy with stockholders' equity of \$90.1 billion as of Q1 2026, though leverage warrants continued monitoring given the elevated debt levels incurred during the Seagen acquisition.

We recommend approval of the facility renewal at the requested level, subject to maintenance of existing financial covenants and quarterly reporting requirements.

Financial Performance Overview

Pfizer's revenue trajectory over the last eight quarters reflects the normalization of its COVID-19 product portfolio and the ongoing integration of the Seagen acquisition. The company reported Q1 2025 revenues of \$13.7 billion, followed by sequential growth to \$14.7 billion in Q2 2025 (single quarter), \$16.7 billion in Q3 2025 (single quarter), and full-year FY 2025 revenues of \$62.6 billion. Q1 2026 revenues of \$14.5 billion represented a 5.4% increase over Q1 2025's \$13.7 billion, signaling a return to organic growth.

Quarter-over-quarter analysis reveals modest sequential volatility. Q2 2025 single-quarter revenues of \$14.7 billion increased 6.8% from Q1 2025's \$13.7 billion. Q3 2025 single-quarter revenues of \$16.7 billion increased 13.7% from Q2 2025, driven likely by seasonal demand patterns and new product launches. However, Q1 2026 revenues of \$14.5 billion declined 13.1%

from the Q3 2025 peak, consistent with typical first-quarter seasonality in the pharmaceutical industry.

Year-over-year, Q1 2026 revenues of \$14.5 billion exceeded Q1 2025 revenues of \$13.7 billion by approximately \$736 million, a 5.4% improvement that suggests the company's growth initiatives are gaining traction. This is a positive credit development as it indicates Pfizer is diversifying away from its declining COVID-19 franchise.

Looking at historical context, Pfizer's FY 2022 revenues of \$91.8 billion represented the peak of COVID-19 vaccine and treatment demand. The subsequent decline to \$50.9 billion in FY 2023 and \$62.6 billion in FY 2025 reflects both the wind-down of pandemic products and the company's strategic pivot toward its oncology pipeline via the Seagen acquisition.

Profitability Analysis

Pfizer's gross margins demonstrate resilience despite the revenue decline from peak levels. For FY 2025, gross profit totaled \$46.5 billion on revenues of \$62.6 billion, yielding a gross margin of 74.3%. Q1 2026 gross profit of \$10.9 billion on revenues of \$14.5 billion produced a gross margin of 75.5%, representing a 120 basis point improvement quarter-over-quarter and reflecting favorable product mix shifts toward higher-margin oncology and specialty products.

Net income trends present a more nuanced picture. FY 2025 net income of \$7.8 billion represented solid profitability, though below the \$9.4 billion reported for the first nine months of 2025 (Q3 2025 YTD). The Q3 2025 single-quarter net income of \$3.5 billion was the strongest individual quarter, while Q1 2026 net income of \$2.7 billion reflected typical first-quarter seasonality and ongoing investment in commercial launches.

Diluted EPS followed a similar trajectory: Q1 2025 at \$0.52, Q2 2025 at \$0.51, Q3 2025 at \$0.62, and Q1 2026 at \$0.47. The FY 2025 full-year diluted EPS of \$1.36 confirms consistent profitability, though the Q1 2026 figure of \$0.47 represents a sequential decline from the Q3 2025 quarter. This pattern is consistent with the company's revenue seasonality and does not indicate a fundamental deterioration in earning power.

Selling, general, and administrative expenses have remained well-controlled. FY 2025 SG&A of \$13.8 billion represented 22.0% of revenues, while Q1 2026 SG&A of \$3.0 billion represented 20.5% of revenues, demonstrating improving operating leverage as the company scales its commercial operations.

Balance Sheet Strength

Pfizer's balance sheet remains a credit strength, supported by a large equity base and manageable leverage. Total assets stood at \$207.6 billion as of Q1 2026, essentially flat with \$208.2 billion at FY 2025 year-end. Total liabilities declined from \$121.4 billion at FY 2025 to \$117.2 billion at Q1 2026, a \$4.2 billion reduction that improved the company's leverage profile.

The debt-to-equity ratio improved from 1.40x at FY 2025 (\$121.4 billion liabilities / \$86.5 billion equity) to 1.30x at Q1 2026 (\$117.2 billion liabilities / \$90.1 billion equity). This improvement was driven by both liability reduction and equity growth, as stockholders' equity increased from \$86.5 billion to \$90.1 billion between FY 2025 and Q1 2026.

Liquidity, as measured by cash and cash equivalents, remains adequate for a company of Pfizer's scale. Cash balances increased from \$1.1 billion at FY 2025 to \$1.7 billion at Q1 2026, a 49.1% improvement. While absolute cash levels appear modest relative to the \$207.6 billion asset base, Pfizer maintains significant access to capital markets and undrawn credit facilities to support its liquidity needs.

Looking at the broader balance sheet trajectory, total assets have remained in a narrow range of \$206.1 billion to \$213.4 billion over the last five quarters, indicating stability in the company's asset base following the Seagen acquisition. The equity base has similarly stabilized between \$86.5 billion and \$92.8 billion, providing a substantial cushion for creditors.

Risk Factors and Mitigants

Key credit risks identified from the financial analysis include: (1) Revenue concentration and decline risk — Pfizer's revenues have declined significantly from the FY 2022 peak of \$91.8 billion to \$62.6 billion in FY 2025, reflecting the normalization of COVID-19 product demand, and the company must demonstrate sustainable growth from its non-COVID portfolio; (2) Elevated leverage following the Seagen acquisition — the debt-to-equity ratio of 1.30-1.40x reflects the debt-financed nature of this transformative deal, and any underperformance in the oncology pipeline could strain debt service capacity; and (3) Execution risk on new product launches — the company's growth strategy depends on successful commercialization of its expanded oncology and specialty care pipeline.

Mitigating factors supporting the credit include: (1) Diversified revenue base across multiple therapeutic areas including oncology, immunology, and cardiovascular care, reducing single-product dependence; (2) Strong and improving profitability metrics with FY 2025 gross margins of 74.3% and net income of \$7.8 billion demonstrating robust earning power; and (3) Improving balance sheet trajectory with leverage declining from 1.40x to 1.30x debt-to-equity and cash balances increasing quarter-over-quarter, indicating management's commitment to deleveraging.

Additionally, Pfizer's large and stable equity base of approximately \$90 billion provides significant financial flexibility and loss-absorption capacity for creditors, supporting the investment-grade credit profile.

Credit Recommendation

Based on our analysis, we recommend approval of the revolving credit facility renewal for Pfizer Inc. The company demonstrates consistent profitability, an improving leverage trajectory, and adequate liquidity. While revenue normalization from COVID-19 peak levels presents a headwind, the year-over-year Q1 2026 revenue growth of 5.4% and improving gross margins suggest the company's diversified growth strategy is gaining traction.

We recommend the facility renewal be subject to existing financial covenants including a maximum debt-to-equity ratio and minimum interest coverage ratio, with quarterly financial reporting requirements. The improving leverage profile from 1.40x to 1.30x debt-to-equity and the company's \$90 billion equity base provide comfortable covenant headroom.

The overall credit assessment is favorable, with risks well-balanced by mitigating factors. Pfizer's scale, diversification, and financial flexibility support a continued investment-grade lending relationship.

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